



Business Studies

Insurance

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Lesson 7 – Insurance

- The space of occurring damage which can be estimated financially is known as a risk in insurance.
- There can be various risks when performing business activities

Examples:

- ❖ Catching fire
- ❖ Risk of theft
- ❖ Loss from business.
- ❖ Damages that can happen to business properties.

Insurance is an agreement between an insurer and the insured whereby the insured agrees to pay the premium and the insurer agrees to pay compensation that the insured faces from insured risks.

- Risks can be categorized as insurable risks and non-insurable risks

Characteristics that should be in Insurable Risks.

- ❖ Risks can be forecast.
 - ❖ Risks that may happen in the future can be calculated in terms of money.
 - ❖ Risks should not be certain. In other words, the loss should happen in a random way.
 - ❖ It should be of no connection. It means the loss that has happened should not be related to any other insured loss.
 - ❖ It should be verifiable. The cause for the loss, the place where it occurred, time and amount can be analyzed.
- To be an insurable risk, the above facts need to be fulfilled.
 - If the above facts are not fulfilled, then those kinds of risks are non-insurable risks.

Given below are some examples of the Insurable Risks.

- ❖ The risk that may be caused by the buildings catching fire.
- ❖ The risks of motor vehicle accidents.
- ❖ Damages that happen to money in transit.
- ❖ The risk of not receiving the money from a debtor.

Given below are some examples for non-insurable risks.

- ❖ Businesses experiencing losses.
- ❖ The risks are for natural reasons. (Depreciation, expiration, vaporization)
- ❖ The risks decided by one's ability and strength (Failure in exam, loss of love)
- ❖ The risks caused by the change in design.

Insurance is important for the survival of the businesses.

- Investors are motivated to start businesses since the risks of the businesses are covered by insurance.
- Receiving protection in terms of money when disabled or at death. (for employees)
- Capital for the development of the country is provided since the insurance companies reinvest their funds.
- International trade has been developed since marine insurance.
- Insurance agreement is a written agreement that takes place when an insurance proposal form, presented by the person who intends to obtain insurance coverage, is accepted by an insurance institution.
- Insurance policy is a written certificate given by an insurance institute to the insured after an insurance agreement for a life or a property has taken place

There are two parties related to Insurance Agreement

- ❖ First party (Insured)
 - The person who presents an insurance proposal or the person who obtains insurance coverage.
- ❖ Second party (Insurer)
 - The party who accepts the insurance proposal or the insurance company. Apart from the above there can also be a third party. The third party is the relationship with the external party that comes into the activation of the agreement.
- To validate an insurance agreement, there should be the following:
 - ❖ Idea of legal obligation
 - ❖ Insurance offer or proposal
 - ❖ Acceptance
 - ❖ Legal validity
 - ❖ Ability to have legal obligation by parties.

Principles of Insurance

- ❖ Insurable interest
 - ❖ Utmost good faith
 - ❖ Indemnity
 - ❖ Subrogation
 - ❖ Contribution
 - ❖ Proximate cause
- The interest in anything, whereby the existence of it causes economic advantages and the loss of it causes economic disadvantages is known as **insurable interest**.

Examples:

- There are insurable interests over husband's life to wife as well as over wife's life to husband.
- The legal owner of any property has insurable interest in the property. (Own motor vehicle, land etc.)
- A creditor has insurable interest in the debtor's life which limits the amount of money he has lent.

- Revealing all the information related to the insurance agreement by the insurer and the insured morally regarding the object subjected to insurance, is known as **utmost good faith**.
- When an insured property has been damaged, payment of an adequate amount of the compensation to restore the property is known as **indemnity**.

Examples:

- If a motor vehicle worth 40 lakhs has been insured for the same amount and if damage of 2.5 lakhs takes place, only 2.5 lakhs will be received as compensation.

- When a property has been insured in several insurance companies and if damage has occurred to it, payment of compensation by all the insurance companies for it by contributing proportionately is known as **contribution**.

Examples:

- If a property worth 10 lakhs has been insured in three insurance companies named A, B and C for 5, 3, and 2 lakhs respectively, and if a damage of Rs. 100,000 has occurred to it, according to the ratio 5: 3: 2, A contributes 50,000, B contributes 30,000 and C contributes 20,000 as compensation.

- When the insurance company has settled the loss for the damage caused to the insured property, transfer of other advantages and rights from external parties that the insured can obtain, to the insurer is known as **subrogation**.

Examples:

- If a motor vehicle, insured for 50 lakhs is destroyed totally in an accident, then the insurance company pays all 50 lakhs as compensation and takes over the debris of the vehicle.

- When several reasons cause the damage of an insured property or a life, the payment of compensation is made only if the proximate reason is covered by the policy is known as **proximate reason**.

Examples:

- A person owning a theft insurance policy cannot obtain compensation if his home is damaged by a fire. The reason is the risk of catching fire hasn't been covered by the insurance policy.

- ❖ Insurance interest, utmost good faith and proximate reason are the only principles that are relevant to life insurance.
- ❖ Indemnity and the principles relevant to it such as contribution and subrogation are not relevant to life insurance.
- ❖ The reason for that is, the loss is immeasurable when a loss or an accident happens to lives and that it cannot be recovered. In life insurance a certain value mentioned in the policy will be granted as **compensation**
- ❖ Insuring back a risk that is undertaken by an insurance company by itself under another insurance company or many is known as **reinsurance**.
- ❖ Since an insurance company can transfer the liabilities through reinsurance, the premium charged from the insured is rather low.
- ❖ Dividing the risk of a property, which is of higher value, into several insurance companies and handing over the risks to several insurance companies and in case of an accident to the property the loss will be compensated by the companies to the amount they have undertaken is known as **underwriting**.

Categories of Insurance

- ❖ Life insurance / long term insurance
- ❖ General insurance.

Life Insurance / Long Term Insurance

- When faced with risks due to the demise or physical hazards of the insured, providing monetary benefits to the insured or his beneficiaries is done in life insurance.
- The aim of life insurance is to protect a certain person against the losses caused because of demise disability or turning to old age.
- Life insurance is obtained for a certain period, if the insured dies during that period, the agreed total value is given to beneficiaries or a named person and if he lives until the period is over, he can obtain the value of the insurance policy and benefits at the end of the period.
- The way that the life insurance differ from other insurances can be shown as follows,

Examples:

- ❖ The risk of life insurance is certain whereas the risk of other insurances is uncertain.
- ❖ Indemnity principle is not relevant to life insurance whereas this principle is relevant to other insurances.
- ❖ Life insurance is equal to a saving but the compensation for other insurances can only be obtained when a loss occurred,
- ❖ Life insurance policy cannot be transferred whereas other insurance policies can be transferred

General Insurance

- General insurance can be categorized as follows.
 - ❖ Fire insurance
 - ❖ Theft and burglary insurance
 - ❖ Natural disaster insurance
 - ❖ Marine insurance
 - ❖ Motor vehicle insurance
 - ❖ Liability insurance
 - ❖ Goods in transit insurance
 - ❖ Money in transit insurance

Fire Insurance

- Insurance that can be obtained to cover the losses caused to a person, building or any other property due to fire is fire insurance.
- Apart from the losses caused due to fire, the following risks can also be covered in the policy by extending the policy by paying extra premium.
 - ❖ Losses by riots / strikes
 - ❖ Losses by explosions
 - ❖ Losses by electricity
 - ❖ Earthquakes / tsunami
 - ❖ Flood /whirl winds /storms
 - ❖ Aircraft crashes
 - ❖ Losses from crashes.
 - ❖ Consequential losses

Theft and Burglary Insurance

- Theft insurance policies can be obtained to cover the risks that can happen to business premises or to homes from thievery.

Natural Disaster Insurance

- Natural disaster insurance can be obtained to cover the losses that occurred to properties such as by storms.

Marine Insurance

- The losses caused to ships and goods in them while transporting by the sea can be covered by marine insurance.
- Marine insurance has two parts.
 - ❖ Hull insurance
 - ❖ Cargo insurance

Different kinds of insurance policies can be obtained under Hull Insurance

- ❖ Full option policy (Comprehensive policy)
- ❖ Total loss policy
- ❖ Port risk policy
- ❖ Maintenance policy
- ❖ Construction all risk insurance policy

Different kinds of insurance policies can be obtained under Cargo Insurance

- ❖ Valued policy
- ❖ Open cover/ floating policy
- ❖ Future time policy

Motor traffic insurance

- An agreement made between an owner of a motor vehicle and an insurance company to obtain compensation for the loss occurred to motor vehicles, people traveling in motor vehicle and other external parties due to motor vehicle accidents.
- There are some kinds of insurance policies that can be obtained under motor traffic insurance.
 - ❖ Full insurance
 - ❖ Third party fire and theft insurance
 - ❖ Third party insurance
- By a full insurance policy loss to the relevant vehicle, people and properties that travel in the vehicle are covered.
- By third party fire and theft insurance, apart from losses to relevant vehicle by fire and theft, losses to external people and properties are also covered.
- By a minimum third-party insurance loss only to third party and properties are covered. To run a motor vehicle on the road at least a minimum third-party insurance must be obtained.

The Liability Insurance

- Ensuring the liability for the losses caused to other parties is known as liability insurance.
- Because of this insurance, businessmen can get protection against liabilities for other parties for the losses caused by themselves.
- Given below are some liability insurance policies under liability insurance.
 - ❖ General liability insurance
 - An insurance coverage obtained by relevant businessmen or owners of the properties for the loss that may unexpectedly occur from properties or from business activities
 - ❖ Product liability insurance
 - An insurance coverage obtained by businessmen for the losses that may occur to consumers by consuming the products that the relevant business sells.

- ❖ **Employer liability insurance**
 - It is the responsibility of the employer to pay compensation for the accidents to employees while being engaged in service. In that kind of situation, the liability to pay compensation can be transferred to an insurance institute.
 - The insurance that the employers obtain for employees who work under them, to pay compensation for wounds and ailments which happen due to work is known as employer liability insurance.
- ❖ **Goods in transit insurance**
 - Insurance that is obtained to cover the losses that can occur to goods from the moment they are loaded to transport till they are unloaded intending to transport on land is known as goods in transit insurance.
- ❖ **Money in transit insurance**
 - The insurance that is obtained to cover the loss that can happen while taking money from one place to another is known as money in transit insurance.